There are many problems with these defences that those who have complained about currency manipulation will recognize. Currency manipulation may help growth in the short run (even this is debatable) but creates long-run distortions that hurt the manipulating country. There are more sensible policies to foster growth. And even if a central bank has a purely domestic mandate, the country's international responsibilities do not allow it to arbitrarily impose costs on the rest of the world. The net spillover effects need to be estimated, and it cannot be taken for granted that the positive spillovers from the initiating country's growth (say through greater trade) more than offset the adverse spillovers to other countries. Feedback effects to the source country represent only a small part of the spillover effects experienced by the world, and a central bank will be far from implementing the globally optimal policy if it is solely domestically oriented, even if it takes these feedback effects into account. Countries are required to pay attention to the effects of their policies on others, no matter how much the added complication, because we all have international responsibilities.

Of course, the reader will recognize that each one of these arguments has been made defending unconventional monetary policy. Yet multilateral institutions treat sustained currency intervention with great opprobrium while giving unconventional monetary policy a clean chit. Should the cleanliness of the chit not depend on the size of the net spillovers and the competitive response it engenders? Without estimating them carefully, how can we tell?

### OPERATIONALIZING COORDINATION: SOME SUGGESTIONS

We need to break away from this cycle of unconventional policies and competitive monetary easing. Already, the events of recent months have set the stage for renewed reserve accumulation by the emerging markets. And this time, it will be harder for advanced economies to